

FROM CANDLES TO ORDER FLOW

What the Candle Doesn't Show:
Auction Market Theory, Volume Profile, and Footprint-Based Trade Analysis

Learning sequence: (1) Order Flow foundations — Auction Market Theory, balance/imbalance, anchored VWAP, swing structure, footprint mechanics, absorption, aggression, and delta shift — followed by context → location → confirmation. (2) Volume Profile, where the Fair Value Gap (FVG) is understood as a Low Volume Node (LVN). (3) Footprint Volume as it defines and confirms the Order Block (OB).

Why this order matters: each layer answers a different question, and each question depends on the answer before it. Order Flow establishes whether the auction is balanced or imbalanced and which side is in control on the higher timeframe. Volume Profile then translates that same auction into a map of price, showing exactly where the market has accepted value and where it has not. Footprint Volume narrows the focus one final time, down to the level of individual candles and individual bid/ask prints, to confirm — in real time — that a level identified by the first two layers is actually being defended by real participants. Reading them in any other order strips the later signals of the context that makes them reliable.

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1. How These Concepts Intermingle

These three subjects are not separate systems — they are three resolutions of the same picture, read from macro to micro:

Layer	Question it answers	Tool
Order Flow / Auction Theory	Is the market balanced or seeking price discovery (trending)?	HTF candles, anchored VWAP, swing structure
Volume Profile	Where has the market accepted price, and where did it move through too fast?	Volume-at-price histogram (POC, HVN, LVN)
Footprint Volume	Who is in control right now — buyers or sellers — at the individual candle level?	Bid x Ask grid, delta, absorption, Order Blocks

The practical reading order — and the order this paper follows — is: **use Order Flow / Auction Theory to establish context (balanced or trending), use Volume Profile to find location (an LVN, which often overlaps an FVG), then use Footprint Volume to get confirmation (absorption or aggression at an Order Block) before acting.** Skipping straight to the footprint without the first two layers is the most common reason footprint signals fail — a delta flip means little if it happens inside a balanced, high-volume area with no HTF context behind it.

It helps to think of the three layers as three different magnifications of the same lens rather than three separate indicators. Zoomed all the way out, Order Flow / Auction Market Theory is concerned with the shape of the entire auction — is the market rotating in a range, or is it breaking out and discovering new prices? Zoomed in one level, Volume Profile takes that same auction and turns it sideways, plotting how much business was actually transacted at every price rather than over every unit of time. This reframing is what exposes the thin, low-volume pockets left behind whenever the market moved on imbalance rather than genuine two-sided agreement. Zoomed in to the finest level, the footprint takes a single candle at one of those prices and shows exactly how the buy and sell side traded against each other, print by print, so a level that looked interesting on the profile can be confirmed — or rejected — using live evidence instead of a static picture.

A useful way to keep this straight while reading a chart live is to ask three questions in order and not let yourself skip ahead: *What is the market doing right now, broadly?* (Order Flow / Auction Theory). *Where, specifically, does that make a level interesting?* (Volume Profile). *Is that level actually being defended at this exact moment?* (Footprint Volume). A trade idea that can answer all three honestly is a very different proposition from one that only answers the third.

2. Part One — Order Flow

2.1 Auction Market Theory

Auction Market Theory treats every market as a continuous two-way auction. Price moves to find a level where buyers and sellers agree — and it either **accepts** that level (builds volume, goes sideways) or **rejects** it (moves away quickly). Two states repeat endlessly: **balance**, where the auction is working out fair value, and **imbalance**, where one side overwhelms the other and price discovers new levels quickly.



Figure 1. A balance phase (blue) resolves into an imbalanced trend leg (yellow), which re-balances at a higher level. The dashed line is VWAP anchored from the start of the trend leg — price staying above it while accepting higher lows confirms the auction is still imbalanced in favor of buyers.

2.2 Balanced vs. Imbalanced Markets

Balanced markets rotate between a defined high and low, building volume in the middle (this becomes the value area in a volume profile). **Imbalanced markets** break out of that range on strong aggression, leaving thin, fast-traded areas behind — these are exactly the zones that show up later as Fair Value Gaps and Low Volume Nodes. Recognizing which state the market is in is the first decision in the entire framework, because it determines whether you are looking for a reversion trade (balance) or a continuation trade (imbalance).

2.3 Anchored VWAP — HTF, 4H, and 5M Anchors

VWAP anchored from a significant HTF (higher-timeframe) pivot — a 4H swing, a session open, or a 5M shift — acts as a running fair-value line for the move in progress. Price holding above an anchored VWAP during an up-leg (or below it during a down-leg) is a simple, objective way to confirm that the imbalance documented above is still intact.

2.4 Swing Highs / Swing Lows — Trend vs. Discovery

Swing highs (SH) and swing lows (SL) are the structural fingerprints of the auction. A sequence of higher swing lows during an up-move shows the market is trending / in price discovery; a series of swing highs and lows at roughly the same levels shows balance. This structure is what ultimately defines the boxes in Figure 1 and is the same structure used later to locate and validate an Order Block.

2.5 The Footprint Chart

A footprint chart replaces a plain candle with a grid: at every traded price level inside that candle, it shows how much volume traded on the **bid** (sellers hitting the bid, printed in red) versus the **ask** (buyers lifting the offer, printed in green). This is the finest resolution of order flow available on a chart — it shows not just that price moved, but who forced it to move.

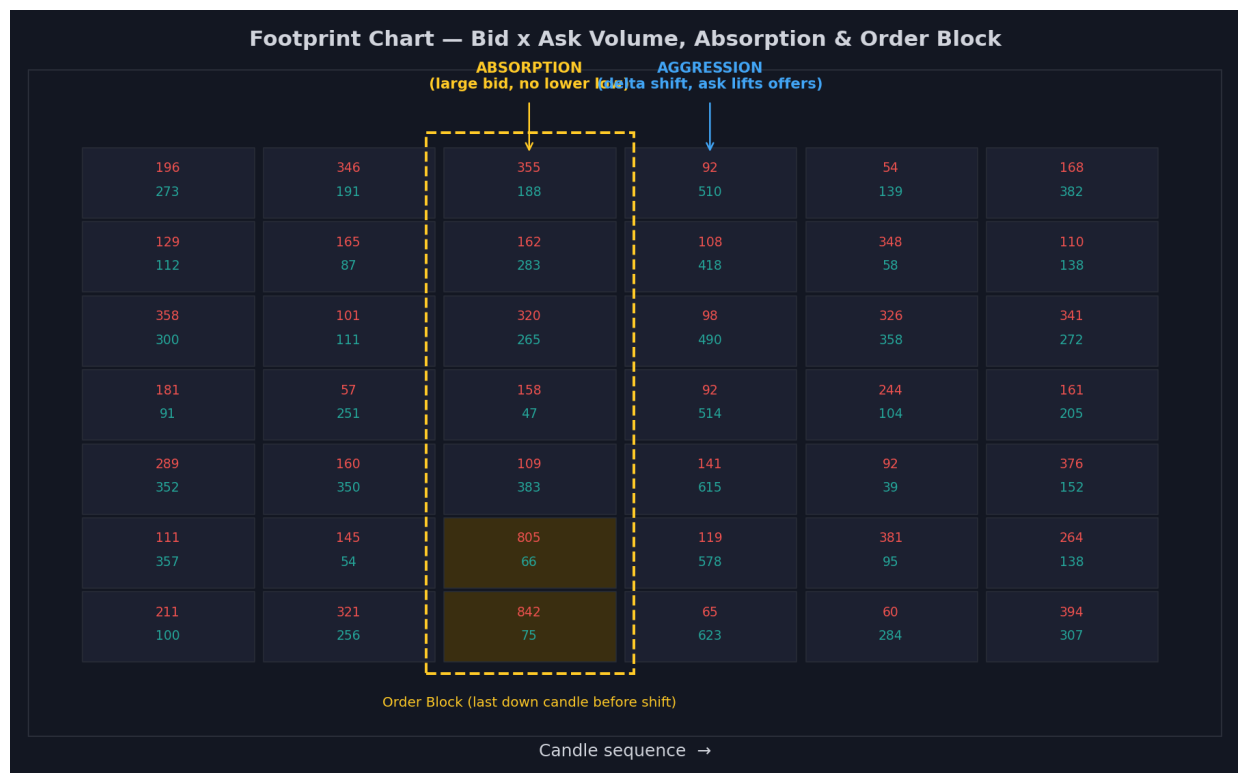


Figure 2. A footprint grid across six candles. Each cell shows bid volume (red, top) and ask volume (green, bottom) traded at that price. The highlighted rows show absorption at the low; the candle to the right shows an aggressive, ask-dominant delta shift.

2.6 Absorption

Absorption happens when one side (commonly large resting bids) repeatedly absorbs aggressive selling at a price level without price making a new low. In the footprint, this looks like a stacked, outsized bid number at the same one or two price levels across several candles, while price fails to break lower. It signals that a large passive participant is willing to keep buying everything sold into that level — exactly the mechanism that forms an Order Block, covered in Part Three.

2.7 Aggression & Delta Shift

Aggression is the opposite behavior: traders paying the ask (or hitting the bid) aggressively enough to move price rather than just fill it. Delta — ask volume minus bid volume, summed per candle — turns this into a single number. A **delta shift** is the moment cumulative delta flips sign, showing that control has passed from one side of the auction to the other.

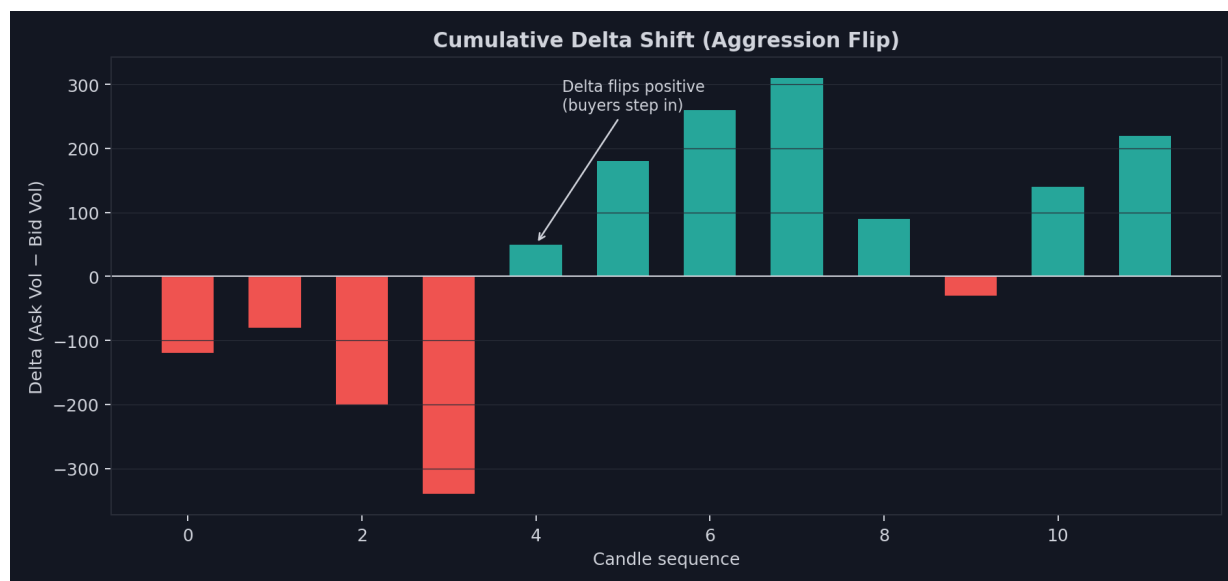


Figure 3. Cumulative per-candle delta. Sustained negative delta (selling pressure) flips positive — the aggression flip that confirms buyers have taken control.

2.8 Reading Order: Context → Location → Confirmation

Every one of the tools above is applied in a strict order, never in isolation:

- **Context** — Auction Market Theory tells you whether the HTF is balanced or imbalanced, and anchored VWAP / swing structure tells you which direction is favored.
- **Location** — Volume Profile tells you where on the chart this matters: at a Low Volume Node / unfilled FVG, or into a High Volume Node where reactions are less reliable.
- **Confirmation** — the footprint (absorption at an Order Block, or an aggressive delta shift) tells you the location is actually being defended right now, in real time.

3. Part Two — Volume Profile (FVG = LVN)

A Volume Profile plots traded volume horizontally against price rather than against time. Reading it top to bottom rather than left to right reveals three landmarks:

- **POC (Point of Control)** — the single price with the most volume traded; also the tallest bar and the highest-volume node (HVN).
- **Value Area** — the range around the POC containing the bulk (typically ~70%) of total volume; this is the accepted, balanced part of the range.
- **LVN (Low Volume Node)** — a thin gap in the profile where very little volume traded, because price moved through that region quickly.

The key relationship in this framework: an **LVN on the volume profile and an FVG (Fair Value Gap) on the price chart are the same phenomenon seen through two different lenses**. Both mark a zone the market moved through on an imbalance rather than an auction — thin on volume, thin on two-sided trade. That is exactly why price is statistically likely to revisit and "fill" these zones: they were never properly auctioned the first time.



Figure 4. Left: price chart with a Fair Value Gap left behind by an imbalanced move. Right: the volume profile for the same range — the FVG lines up exactly with a Low Volume Node, while the Point of Control (POC / HVN) sits in the thickest part of the profile.

4. Part Three — Footprint Volume Defines the Order Block

An Order Block (OB) is usually defined visually as "the last opposing candle before a strong move." Footprint volume is what turns that visual definition into an evidence-based one: an Order Block is only meaningful if the footprint at that candle shows real absorption — a disproportionate amount of resting volume being absorbed at that price without price breaking through.

Referring back to Figure 2: the highlighted candle is a down candle showing very heavy bid volume (805 and 842) against comparatively light ask volume at the same two price levels, immediately before the market reverses and the next candle shows a strong aggressive, ask-dominant delta shift. That combination — high resting bid absorption followed immediately by an aggressive delta flip — is the footprint-volume confirmation of a valid Order Block, as opposed to an arbitrary candle chosen by eye.

In practice this means an Order Block should be treated as a candidate until the footprint confirms it: look for (1) volume clearly concentrated at the wick / extreme of the candle rather than spread evenly, (2) a bid:ask (or ask:bid) imbalance well beyond the average for recent candles, and (3) a delta shift on the very next candle in the expected direction. An Order Block without this confirmation is only a hypothesis about where smart money entered — the footprint is the evidence.

5. Putting It All Together — A Worked Example

Step 1 — Context: 4H chart is in an imbalanced up-trend: price is above its anchored VWAP and printing higher swing lows (Section 2.1–2.4).

Step 2 — Location: Price pulls back into an unfilled FVG that lines up with a Low Volume Node on the volume profile (Section 3).

Step 3 — Confirmation: On the lower timeframe, the footprint at that LVN shows heavy bid absorption at the low of the pullback, followed by a candle with a strong positive delta shift (Section 2.5–2.7, Section 4).

Step 4 — Trade Decision: All three layers agree — HTF context is bullish, location is a logical LVN/FVG, and the footprint confirms real buying control at that exact level. This is the point at which a 3:1+ R:R, non-repainting setup is considered valid under this framework.

This is why the three parts of this paper must be read in order: context without location is directionless, location without confirmation is guesswork, and confirmation without context is noise.

6. Quick-Reference Glossary

Term	Definition
Auction Market Theory	Framework treating price as a continuous two-sided auction seeking fair value.
Balance / Imbalance	Sideways, value-building rotation vs. a fast, one-sided directional move.
Anchored VWAP	Volume-weighted average price calculated from a specific starting point (anchor).
Swing High / Low (SH/SL)	Local turning points in price that define market structure.
Footprint Chart	Chart showing bid vs. ask volume traded at each price level within a candle.
Absorption	Large resting orders repeatedly absorbing aggressive flow without price breaking the level.
Aggression	Market orders actively lifting offers / hitting bids to force price to move.
Delta	Ask volume minus bid volume for a given candle or period.
Delta Shift	The point where cumulative delta changes sign, signaling a change in control.
Volume Profile	Histogram of traded volume plotted by price rather than by time.
POC (Point of Control)	The price level with the single highest traded volume in a profile.
HVN / LVN	High / Low Volume Node — areas of heavy acceptance vs. thin, fast-traded price.
FVG (Fair Value Gap)	A price imbalance left behind by a fast move; functionally equivalent to an LVN.
Order Block (OB)	The last opposing candle before a strong move, validated by footprint absorption.